

One governance gap repeating six times, not six expensive contractors.

A ~\$230M contractor programme was billing roughly \$5–6M a year above the assessment benchmark. The cause was not who held the work but the absence of rate-book enforcement — so replacing contractors would have reproduced it.

INDUSTRY Energy & utilities — electric distribution	ENGAGEMENT CONTEXT Consulting · large US investor-owned utility	ROLE Independent commercial assessment (pre-RFP)	DURATION 6 weeks
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THE SITUATION

- A five-year renewal of overhead-construction contracts was approaching, on a rate book five years out of date.
- Ambiguous work descriptions and time-based billing made the exposure real but unquantified.
- Spend ran across 482 rate-book items and six contractors; the diagnosis had to find the few that mattered.

MY CONTRIBUTION

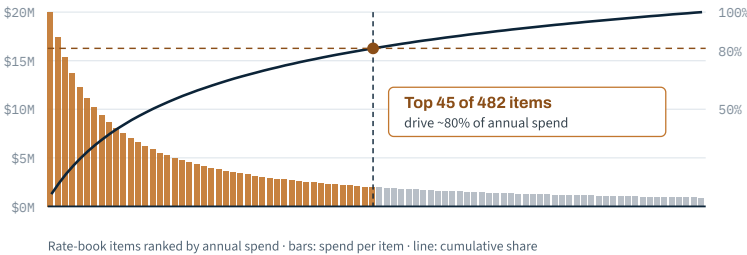
Led the assessment end to end: analysed ~565,000 transactions from twelve months of approved spend, quantified above-market billing, isolated its structural root cause, and converted it into a five-pillar contracting framework tied to the RFP critical path.

THE JUDGMENT THAT MATTERED

A rate comparison only holds when the work and its units are genuinely comparable. Weighting each contractor's rates by its own volumes, and keeping the finding as one integrated opportunity, stopped it being split into individually deniable line items.

EXHIBIT 1 45 of 482 rate-book items drive ~80% of spend

Pareto of the ~\$230M annual portfolio

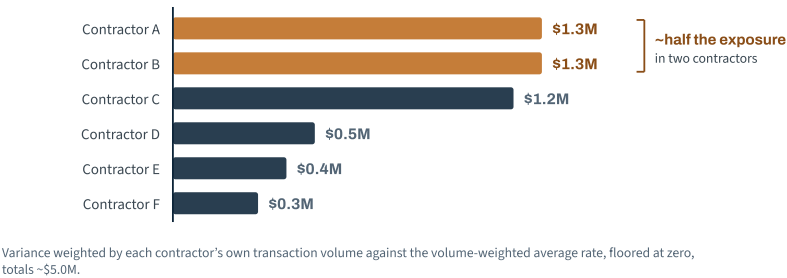


SO WHAT

The governance problem is concentrated — 45 items, not 482 — which makes it fixable inside one renewal cycle rather than overwhelming.

EXHIBIT 2 The same billing pattern appears in all six contractors

Unit-billing variance vs volume-weighted average rate, \$M



SO WHAT

The two largest carry about half the exposure, but the driver is absent rate enforcement. Any replacement contractor would repeat the pattern.

WHAT THE WORK DELIVERED

A ~\$5–6M annual opportunity, addressable through one structural lever: rate-book enforcement.

A costly contractor reshuffle avoided — it would not have fixed the cause.

An RFP-ready toolkit: five-pillar contract framework, work-description standard and pricing template.

HEADLINE

~\$5–6M

a year above benchmark — about 2–3% of annual contractor spend

Sources. Twelve months of client-approved contractor spend: ~565,000 transactions across ~\$230M, 482 rate-book items and six contractors. Variance weighted by each contractor's own transaction volume against the volume-weighted average rate, floored at zero. **Anonymisation & basis.** Client, supplier and peer identities withheld. Outcome figures are rounded from engagement results; exhibit internals are indexed or illustrative and show the analytical structure, not client data.